

Premier Energies Limited.

Company Overview:

Premier Energies Ltd is a leading solar cell and solar module manufacturer with 29 years of experience in the solar industry. The company specializes in manufacturing solar photovoltaic (PV) cells and modules using various technologies such as monocrystalline PERC and TOPCon. It also offers customized modules for specific applications. In addition to manufacturing, the company provides comprehensive solar EPC services, including end-to-end solar solutions for ground-mounted, rooftop, floating, canal bank, canal top and hybrid power generation systems.

Key Highlights:

1. India's 2nd largest integrated solar cell and solar module manufacturer:

According to F&S, the company is the second largest integrated solar cell and solar module manufacturer in India. It has an aggregate annual installed capacity of 2 GW for solar cells and 4.13 GW for solar modules. It currently produces solar cells and solar modules at five manufacturing facilities located on company-owned land in Hyderabad, India. Industrial-grade automated tools are used throughout the manufacturing process. Solar modules are manufactured in Units I, IV, and V, while Unit II produces both solar cells and solar modules, and Unit III focuses on solar cell production. The company is planning to commission a TOPCon solar cell line in Unit II with an annual installed capacity of 1,000 MW by FY25. For this additional cell line, they have procured financing through IREDA which has estimated project costs of Rs 669.4 cr.

2. Diversified customer base with robust order book: The company's domestic customers are located and operate in 23 states and union territories in India. For FY22, FY23, FY24 and 1QFY25, the total number of customers from India were 165, 193, 200 and 117 respectively. Meanwhile, the total number of customers from overseas markets were 8, 6, 27 and 3 respectively. Some of the domestic customers include Continuum, ShaktiPumps, First Energy, Hartek, Amplus KN One Power Private Limited, SolarSquare, Rotomag Motors and Controls Private Limited and Madhav. Global customers include Arka Energy Inc. (U.S.A). As of Jun'24, the company's total order book stood at Rs 5,926.6 cr (~1.9x FY24 sales).

3. Backward integrated solar cell manufacturer with solar module producer: The company's backward integration and integrated structure helped the company gains access to the market for DCR (Domestic Content Requirement) solar modules. According to F&S, DCR requires solar cells and modules to be manufactured in India. The company believes it is well protected from new competitors entering the integrated solar cell and module manufacturing industry. This is because there are high barriers to entry, such as the need for large amounts of capital, technical expertise and long lead times of about 15-18 months to establish a manufacturing line, as well as an additional 6-9 months to make the manufacturing line and process fully operational and stable. These significant barriers, combined with the company's established and substantial presence in the industry, put the company in a favorable position compared to new entrants when it comes to government initiatives and project bids.

Valuation: The company is valued at FY24 and FY25 annualized P/E multiple of 87.7x/56.0x (assuming FY25 sales of Rs 6,628 cr and 16% EBITDA margin) at the upper price band based on post-issue capital. The company is raising funds through fresh issue to fund its upcoming Unit VI manufacturing facility for solar cell (4000 MW) and solar module (4000 MW) which is likely to commission by FY26. All India's Installed power generation capacity is expected to grow from 422 GW in FY24 to 622 GW and ~65% of this capacity would be added through solar, giving an edge for the company's growth. We recommend subscribing to the issue for long-term investment horizon.

Issue Details	
Date of Opening	27 th August 2024
Date of Closing	29 th August 2024
Price Band (Rs)	427 - 450
Offer for sale (Equity shares)	3,42,00,000
Fresh Issue (Rs cr)	1,291.4
Issue Size (Rs cr)	2,752 – 2,830
No. of shares	6,44,43,560 – 6,28,97,778
Face Value (Rs)	1
Post Issue Market Cap (Rs cr)	19,314 – 20,284
BRLMs	Kotak Mahindra Capital, J.P. Morgan India, ICICI Securities.
Registrar	KFin Technologies Limited.
Bid Lot	33 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%
Employee Reservation	Rs 10 cr

Objects of Issue	
Estimated utilization from net proceeds (Rs cr)	
Investment in Premier Energies Global Environment Private Limited for part-financing the establishment of the Project.	968.6
General corporate purpose	-
Total proceeds from fresh issue*	1,291.4

**To be finalised upon determination of the Offer Price and updated in the Prospectus. The amount utilised for general corporate purposes shall not exceed 25% of the Gross Proceeds.*

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	30,48,47,488	73.4
Public & Others	11,02,56,890	26.6
Total	41,51,04,378	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	29,76,47,488	66.8
Public & Others	14,77,00,450	33.2
Total	44,53,47,938	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	29,76,47,488	67.1
Public & Others	14,61,54,668	32.9
Total	44,38,02,156	100.0

Source: RHP, SSL Research

Key Financials

	FY22	FY23	FY24	1QFY25
Revenue from operation (Rs cr)	743	1,429	3,144	1,657
EBITDA (Rs cr)	30	78	478	358
PAT (Rs cr)	(14)	(13)	231	198
EBITDA Margin (%)	4.0	5.5	15.2	21.6
PAT Margin (%)	-	-	7.4	12.0
ROE (%)	(3.7)	(3.2)	35.8	23.4*
ROCE (%)	3.1	5.1	20.1	14.2*
P/E (x)	-	-	82.1	95.8*

** Not Annualized*

Note: PE is based on pre-issue at upper band

Source: RHP, SSL Research

Risk Factors

- **Intense competition:** The company faces intense competition from other Indian solar cell and module manufacturers from China and Southeast Asia for domestic demand, while its export sales faces competition from a wide range of global solar cell and module manufacturers. Some of the key competitors across its business verticals include Waaree Energies, Mundra Solar, Jupiter Solar, Vikram Solar, Goldi Solar, RenewSys India and Websol Green Energy.
- **Revenue concentration:** The company's revenue is dependent upon a limited number of customers (Top 5 customers contributed 43.3% of the total revenue in FY24). Any loss of these customers or loss of revenue from these customers would significantly impact the business financial condition and operational cash flows.
- **Manufacturing facility:** The company's manufacturing facilities are located in Telangana, which exposes operations to potential geographical risks arising from local and regional factors that may adversely impact the operation of the company.
- **Negative returns:** The company has incurred losses of Rs 14.4 cr and Rs 13.3 cr in FY22 and FY23, and any similar losses in the future may adversely impact the financial conditions of the company.
- **Under Utilization of the installed capacity:** Underutilization of the manufacturing facility and an inability to effectively utilize the expanded and proposed manufacturing capacities could have an adverse effect on the financial performance of the business.

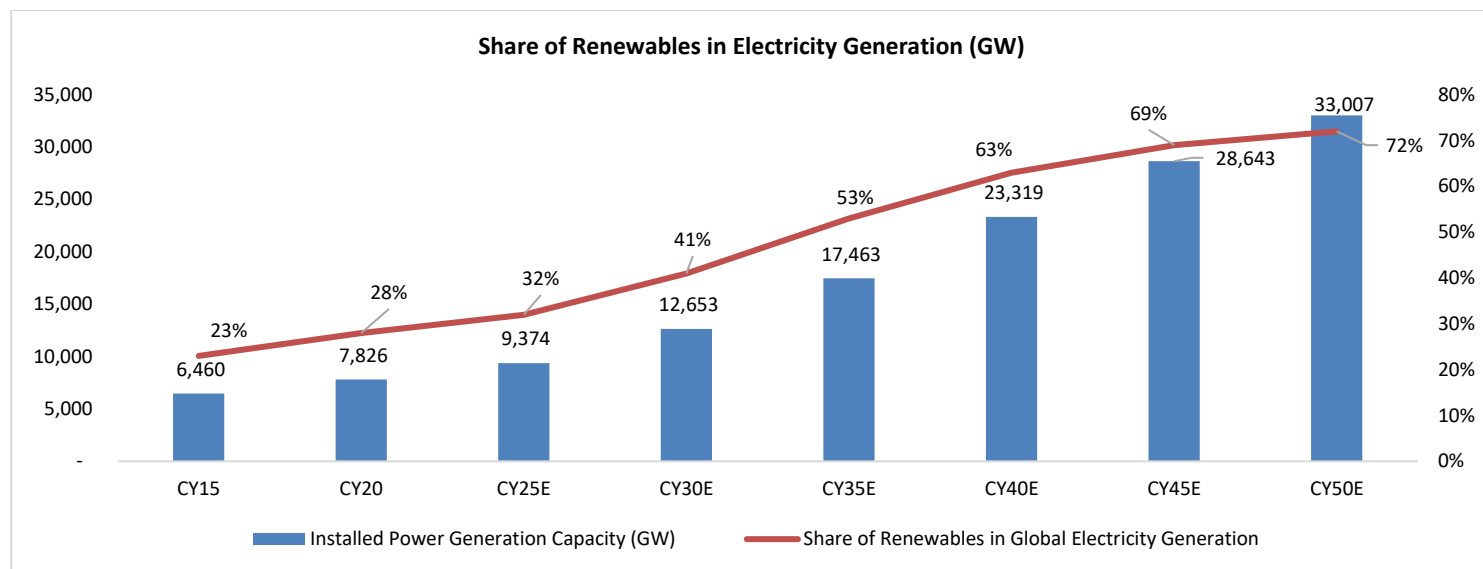
Growth Strategies

- Expanding overseas presence and increasing exports, especially in the U.S. market through strategic backward integration of the production chain and establishing manufacturing capabilities outside India.
- Develop and grow rooftop solar offerings.
- Capitalize on available market opportunities to grow domestic business.
- Expanding and upgrading manufacturing capacities using the latest technology.

Industry Overview

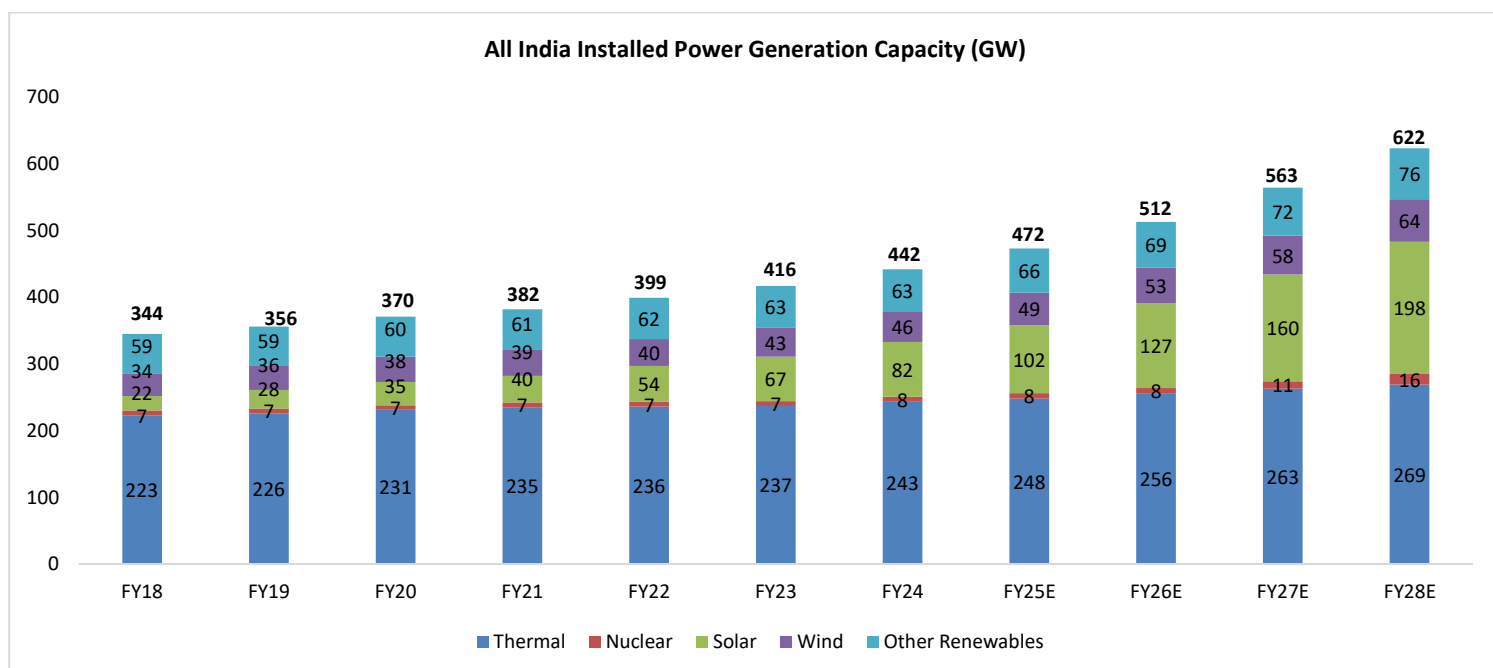
Growth in global installed power generation capacity and share of renewables in electricity generation between CY15 – CY50

As per the latest data available, global installed power generation capacity has reached 9,063 GW at the end of CY23. The Asia-Pacific region accounts for ~40% of this installed capacity, followed by 22% for North America and 18% for Europe. India accounts for ~5% of global installed power generation capacity at the end of CY23. Global installed power generation capacity is expected to grow at 4.8% CAGR till CY50 to reach ~33,000 GW and the share of renewables in global electricity generation is expected to increase from 28.5% in CY20 to 72.3% by CY50.



Source: RHP, SSL Research

Renewables to account for ~54% share of the installed power generation capacity in India by FY28: India had a total installed power generation capacity of 442 GW at the end of FY24. Based on generation capacity addition plans of the Government and projects on ground, Frost & Sullivan estimates that an additional 180 GW of power generation capacity would realistically be added till FY28, taking the country's total installed power generation capacity to 622 GW. ~65% of this capacity would be added through solar. This would take the country's installed solar capacity from 82 GW in FY24 to 198 GW by FY28.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT				
(Rs cr)	FY22	FY23	FY24	1QFY25
Revenue from Operations	743	1,429	3,144	1,657
YoY growth (%)	-	92.3	120.1	-
Cost Of Revenues (incl Stock Adj)	587	1,174	2,344	1,124
Gross Profit	156	255	800	533
Gross margins (%)	21.0	17.8	25.5	32.2
Employee Cost	25	45	61	30
Other Operating Expenses	102	132	261	145
EBITDA	30	78	478	358
EBITDA margins (%)	4.0	5.5	15.2	21.6
Other Income	24	35	28	11
Net Interest Exp.	43	69	121	45
Depreciation	28	53	96	79
PBT	(17)	(9)	288	245
Exceptional item/Extraordinary item	0	0	0	0
Tax	(1)	6	58	48
Share of profit of associates	1	1	1	1
Reported PAT	(14)	(13)	231	198
Reported PAT margin (%)	-	-	7.4	12.0
Reported EPS	-	-	5.5	4.7

BALANCE SHEET				
(Rs cr)	FY22	FY23	FY24	1QFY25
Assets				
Net Block	471	584	1,189	1,270
Capital WIP	114	349	20	18
Intangible Assets	0	2	0	0
Right of use assets	1	0	9	8
Other Non current Assets	90	120	155	114
Current Assets				
Current Investment	48	52	0	250
Inventories	217	633	1,009	848
Trade receivables	145	59	609	591
Cash and Bank Balances	160	193	403	453
Short-term loans and advances	1	0	1	1
Other Current Assets	92	118	160	181
Total Current Assets	663	1,056	2,182	2,324
Current Liabilities & Provisions				
Trade payables	270	398	975	1,037
Other current liabilities	122	445	395	482
Short-term provisions	1	1	1	1
Total Current Liabilities	392	843	1,371	1,520
Net Current Assets	270	212	811	804
Assets Classified as held for sale	2	0	0	0
Total Assets	949	1,267	2,184	2,215
Liabilities				
Share Capital	196	196	196	203
Reserves and Surplus	198	215	451	643
Total Shareholders Funds	395	411	647	846
Minority Interest	9	13	13	13
Total Debt	453	764	1,392	1,200
Long Term Provisions	31	29	49	72
Lease Liabilities	1	0	9	8
Other Long Term Liabilities	53	42	43	59
Net Deferred Tax Liability	8	8	31	16
Total Liabilities	949	1,267	2,184	2,215

Cash Flow (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	26	31	82
Cash flow from Investing Activities	9	(19)	(33)
Cash flow from Financing Activities	0	6	(46)
Free Cash Flow	22	18	63

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets (%)	(1.1)	(0.6)	6.5
Return on Capital Employed (%)	3.1	5.1	20.1
Return on Equity (%)	(3.7)	(3.2)	35.8
Margin Analysis			
Gross Margin (%)	21.0	17.8	25.5
EBITDA Margin (%)	4.0	5.5	15.2
Net Income Margin (%)	-	-	7.4
Short-Term Liquidity			
Current Ratio (x)	1.3	1.0	1.2
Quick Ratio (x)	0.9	0.4	0.6
Avg. Days Sales Outstanding	71	15	71
Avg. Days Inventory Outstanding	107	162	117
Avg. Days Payables	133	102	113
Fixed asset turnover (x)	1.6	2.4	2.6
Debt-service coverage (x)	0.1	0.1	0.3
Long-Term Solvency			
Total Debt / Equity (x)	1.1	1.9	2.2
Interest Coverage Ratio (x)	0.6	0.9	3.4
Valuation Ratios			
EV/EBITDA (x)	652.1	250.2	41.8
P/E (x)	-	-	82.1
P/B (x)	48.1	46.2	29.4
EV/Sales (x)	26.0	13.7	6.4

Valuation ratios are based on pre-issue capital at upper band

Source: RHP, SSL Research

Peer Comparison – FY24

(Rs cr)	Premier Energies Limited	Websol Energy Systems Limited
CMP	450	907
Sales	3,144	26
EBITDA	478	(8)
Net Profit	231	(121)
Mkt Cap	20,284	4,043
Enterprise Value	19,982	4,226
EBITDA Margin (%)	15.2	-
PAT Margin (%)	7.4	-
P/E (x)	87.7	-
EV/EBITDA (x)	41.8	-
EV/Sales (x)	6.4	162.5
RoE (%)	35.8%	-
RoCE (%)	20.1%	-

The data is based on FY24 financial data.

For Premier Energies Ltd, the P/E, Market cap, EV/Sales and EV/EBITDA (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 26th August, 2024.

Source: RHP, SSL Research

SBICAP Securities Limited

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